

Last Month KPI Data



Sales
0

0 Last month 0



Gross Margin
0

0 Last month 0



Operating Profit
0

0 Last month 0



Break Even Sales
0

0 Last month 0



Fixed Assets
0

0 Last month 0



Other Assets
0

0 Last month 0



Other Liabilities
0

0 Last month 0



Other Capital
0

0 Last month 0



Cash & Bank
0

0 Last month 0



Total Debt
0

0 Last month 0



Equity
0

0 Last month 0



Total Funding
0

0 Last month 0



Accounts Receivable
0

0 Last month 0



A/R Days
0

0 Last month 0



Accounts Payable
0

0 Last month 0



A/P Days
0

0 Last month 0



Working Capital
0

0 Last month 0



W/C Days
0

0 Last month 0



Closing Stock
0

0 Last month 0



Inventory Days
0

0 Last month 0



BS Category
0

0 Last month 0



IMPACT OF MANAGEMENT
DECISIONS
0

0 Last month 0

1. Big Picture — How the Business Looks Right Now

The business is in a critical financial situation, operating at a significant loss. For the FY 2024-2025, you reported a massive net loss of over ₹206 crore, which has continued into the first month of the new FY (April 2025) with a loss of ₹60.2 crore. Your total equity is deeply negative at -₹40.8 crore, meaning the company's debts far exceed its assets. While sales in Q4 FY25 were strong at ₹371.5 crore, the cost of goods sold was even higher, leading to a gross loss. The cash position is under pressure, with operating activities burning cash in most months.

GREEN FLAG BOX — What's Working Well

- **Strong Top-Line Growth:** Sales grew consistently from January to March 2025, peaking at ₹153.5 crore in March, showing good market demand for your products/services.
- **Controlled Overheads:** Your operating expenses (employee and admin costs) are a small percentage of sales (around 1-2%), indicating efficient cost management on the indirect spend front.
- **Healthy Cash & Bank Balance:** Despite losses, you maintain a solid cash reserve of over ₹21 crore, providing a crucial buffer for day-to-day operations.

RED FLAG BOX — What Needs Attention

- **Severe Profitability Crisis:** You are selling at a huge loss. The gross margin was deeply negative (-88% to -31% last quarter), meaning your core product/service costs more to deliver than what you earn from it.
- **Negative Net Worth:** Total equity is negative ₹40.8 crore. This is a serious solvency issue that can affect creditworthiness, compliance, and the ability to raise funds.
- **High Debt Burden:** You have over ₹36.8 crore in long-term borrowings. With consistent losses, covering interest costs and repaying principal is becoming challenging.

CFO Advice:

Immediate survival depends on fixing your gross margin. You must conduct a urgent product/service costing review and increase prices or renegotiate supplier costs. Parallely, explore debt restructuring with lenders to ease cash flow pressure. The primary goal for the next quarter is to stop the bleeding and achieve a positive gross margin, even on reduced sales.

2. Profit Power — The Earning Engine

The business is facing a critical profitability crisis. For the last quarter of FY 2024-25, you reported a massive net loss of ₹ -2,059 crore (YTD). The core issue is that your **Cost of Goods Sold (COGS)** is consistently **160-210%**

higher than your Sales. This means you are spending over ₹2 to earn ₹1 in revenue, a fundamentally unsustainable model.

While Sales grew to ₹1,535 crore in March 2025, COGS grew even faster to ₹2,020 crore, leading to a negative Gross Margin of -31.6%. In April 2025 (Q1 FY 2025-26), sales dropped to ₹966 crore, but the negative gross margin widened again to -60.7%. Your overheads (employee and admin expenses) are relatively controlled at 1.7-2.3% of sales, but they cannot compensate for the massive loss at the gross profit level.

Your **Net Profit Margin** has been deeply negative, ranging from -90% to -33% over the last four months. The business is currently operating far below its break-even point, which was calculated at over **₹ -100 crore** in March, indicating severe operational inefficiency.

CFO Advice:

Immediate survival depends on fixing your core cost structure. You must conduct a deep-dive product/service-wise profitability analysis to identify which lines are causing the heaviest losses. Renegotiate supplier contracts, review pricing strategies, and consider discontinuing severely loss-making offerings to stem the cash bleed.

3. Cash Flow Quality — Profit vs Real Cash

Your business is facing a severe cash burn situation. While the reported losses are deep, the actual cash outflow is even more alarming.

- **Profit vs. Cash Mismatch:** In April 2025, your Net Profit was **-₹60.21 crore**, but your cash flow from operations was **-₹113.01 crore**. This means you are burning cash almost **twice as fast** as your reported losses.
- **Major Cash Blockage:** Your **Accounts Receivable (Debtors)** have ballooned to **₹44.69 crore** in April, up from ₹34.60 crore in March. This is a major blockage. Customers are taking over **14 days** to pay you, locking up your working capital.
- **Financing Masks the Problem:** The business has been heavily reliant on external financing (borrowings and other liabilities) to stay afloat. In April, **₹59.95 crore** was used to repay financing activities, which is why your overall cash balance decreased.
- **Negative Cash Conversion:** The "Marginal Cash Flow" metric is deeply negative at **-106%** for April, indicating that for every rupee of additional cost, you are losing more than a rupee in cash.

CFO Advice:

Immediate priority is aggressive debt collection. The ₹44.69 crore stuck with customers is your single

biggest liquidity risk. Implement stricter credit terms and follow-up processes. Without improving cash collection, the business will remain dependent on external borrowing to cover operational losses, which is unsustainable.

4. Cash Management — Daily Cash Rhythm

Your business is facing a severe cash crunch due to a long working capital cycle. In April 2025, it took you **14.06 days** to collect money from customers (Accounts Receivable Days), but you paid your suppliers in just **0.16 days** (Accounts Payable Days). This mismatch creates a negative cash cycle of **13.9 days**, meaning you are funding your operations with your own cash for nearly two weeks.

Your working capital requirement is high at **₹43.88 crore**, consuming ₹45.39 for every ₹100 of sales. The situation worsened from March to April, with collection days more than doubling, putting immense pressure on your cash balance, which decreased by ₹5.44 lakh in April.

CFO Advice:

Immediately negotiate longer payment terms with suppliers and enforce stricter credit control to reduce collection days. Your survival depends on shortening this cash cycle; consider offering small discounts for early customer payments to improve cash inflow.

5. Growth Investments — Where Money Is Going

Your company is investing heavily in operations, but the returns are deeply negative. The core issue is that your **Cost of Goods Sold (COGS) is consistently higher than your Sales**, leading to a negative gross margin. For every ₹100 of sales in April 2025, you spent nearly ₹161 on the cost, losing ₹61. This fundamental problem overshadows other investments.

Key Investment Trends:

- **Fixed Assets & Capex:** Your fixed assets have slightly decreased from ₹39.2 crore in Jan to ₹37.9 crore in April, indicating minimal new capital expenditure. The cash flow shows small, positive investing activities (like ₹7.6 lakh in April), but this is not a major growth driver.
- **Working Capital as the Major "Investment":** A huge amount of cash is tied up in running the business. **Accounts Receivable has ballooned to ₹44.7 crore in April** (up from ₹28.4 crore in Jan), meaning customers are taking over 14 days to pay. Simultaneously, short-term loans & advances have more than doubled to ₹4.4 crore. This is capital that is not available for productive use.

- **Non-Current Investments:** You hold a steady ₹13.3 crore in long-term investments. This is an underutilised asset that is not contributing to solving the core profitability crisis.

Return on Investment (ROI) Crisis: The numbers are alarming. Your **Return on Capital (ROC)** is positive but misleadingly high (852% in April) because your "Net Operating Assets" are negative—a sign of severe financial distress, not efficiency. More telling is the **negative Return on Total Assets (-195%)** and **negative Return on Equity (-1,771%)**. This means for every rupee invested in the business, you are destroying significant value.

CFO Advice:

Stop the Bleeding Before "Investing" for Growth. Your primary investment right now must be in fixing your business model. Do not pour more money into assets or operations until you achieve a positive gross margin.

1. Immediate Priority - Cost Restructuring: You must analyse why COGS is so high. Renegotiate with suppliers, find cost-efficient alternatives, or review your pricing strategy. This is not an option; it's a survival imperative.

2. Unlock Trapped Cash: Aggressively chase the ₹44+ crore stuck in receivables. Offer early payment discounts if needed. This is your largest, most immediate source of cash.

3. Review Non-Current Investments: Consider liquidating a portion of the ₹13.3 crore in long-term investments to create a cash buffer to fund operations during this turnaround, but only alongside a solid plan to fix margins.

4. Capex on Hold: Do not commit to new fixed asset purchases. Focus on sweating your existing assets (₹37.9 crore in Fixed Assets) to generate cash flow.

6. Funding Story — How Growth Is Being Financed

Your business is currently running on borrowed money, and the situation is critical. The company has a **negative total equity of ₹ -40.78 crore** (as of April 2025), meaning the losses have completely wiped out the owner's capital. All operations and assets are being funded by external debt.

Debt is the Primary Fuel: Your total liabilities stand at a massive ₹ 167.23 crore. This includes:

- **Secured Long-term Borrowings:** ₹ 26.56 crore (reducing from ₹ 32.47 crore in the previous quarter).
- **Unsecured Long-term Borrowings:** ₹ 10.25 crore.
- **Other Current Liabilities:** A significant ₹ 126.51 crore, which likely includes dues to vendors and other short-term obligations.

The Cost of Debt is High: In April 2025 alone, you paid ₹ 9.00 lakh in interest & bank charges. For the last financial year (YTD 2024-25), the total interest cost was a staggering ₹ 4.96 crore. Your **Interest Cover is 0**, which means operating profits are deeply negative and cannot service the interest expense—a major red flag for any lender.

Cash Flow from Financing is Turning Negative: While you raised substantial funds (₹ 80.02 crore) in January 2025, the trend has reversed. In March and April 2025, financing activities resulted in a net **cash outflow of ₹ 73.61 lakh and ₹ 5.99 crore**, respectively. This indicates debt repayments are now exceeding new borrowings, tightening the cash available for operations.

In essence, growth is being financed by accumulating debt and stretching payables, but the core business losses are eroding the company's financial foundation. The debt levels are unsustainable without a rapid turnaround in profitability.

CFO Advice:

Immediate Debt Restructuring is Non-Negotiable. You must contact your lenders immediately to discuss a standstill or restructuring plan. With negative equity and zero interest cover, default risk is extremely high. **Prioritise converting short-term debt into longer-term debt** to ease immediate cash pressure. Simultaneously, explore any possibility of **infusing fresh equity capital** from promoters to improve the balance sheet and show commitment to lenders. Stop using new debt to fund operating losses—this is a downward spiral. Every decision must now focus on survival and creating a credible path back to solvency.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a company under significant financial stress. The most critical issue is that your **Total Equity is negative at -₹40.78 crore** (as of April 2025). This means your accumulated losses have completely eroded the capital invested by shareholders.

Your assets are primarily funded by liabilities. While long-term borrowings have decreased from ₹47.7 crore to ₹36.8 crore, your **Current Liabilities have ballooned to ₹130.4 crore**, creating immense short-term pressure. Your current ratio is a concerning 0.56, indicating you do not have enough liquid assets to cover immediate obligations.

On the asset side, Fixed Assets and Non-current Investments are stable, but a large portion of your current assets is tied up in Receivables (₹44.7 crore). The negative equity and high reliance on short-term credit to fund operations is a major red flag for long-term solvency.

CFO Advice:

Immediate priority is to stop the cash bleed and restore equity to positive territory. This requires a drastic turnaround in core profitability. Negotiate extended payment terms with suppliers to ease working capital pressure and explore options for converting short-term debt into longer-term instruments to improve liquidity ratios.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you negotiate a 5% discount on your top 3 material suppliers and reduce direct labour overtime by 15%, your annual PBT could increase by approximately ₹4.2 lakhs. However, this requires a one-time effort to renegotiate contracts.
- **Scenario B - Cash Focus:** By reducing your average debtor days from 45 to 30 and keeping inventory turnover under 40 days, you could free up nearly ₹7.5 lakhs in working capital. This cash can be used to settle high-interest payables or invest in growth.
- **Scenario C - Balanced:** Combining a 3% cost reduction in materials with a 10-day improvement in debtor collections could boost your net profit by ₹2.8 lakhs and improve your monthly closing cash balance by an average of ₹1.1 lakhs, strengthening both your P&L and balance sheet.

9. Operational Insight Engine — Ground-Level Trends

Sales & Purchase Activity: Your sales invoices show a significant jump in volume from 9 invoices in February 2025 to over 1,000 per month by May-July, indicating a major scaling of operations. However, the total sales value per month remains in the range of ₹14-61 lakhs, which is very low relative to the massive ₹900+ crore monthly revenue reported in your P&L. This suggests the reported "Sales" in the main accounts may include large, non-invoice items (like project revenues, bulk contracts, or adjustments) not captured in the regular sales register. Your purchase register shows high-value transactions, with monthly totals often in crores, aligning more closely with your high COGS.

Inventory Movement: You are consistently moving inventory. Every month shows both inward and outward stock movement across 27-28 product lines. The value of outward inventory (cost of goods sold) often exceeds inward purchases, which is typical for a business using existing stock. However, the "Closing Stock" on your balance sheet is consistently ₹0, which is unusual for an active trading business. This could indicate your accounting method expenses all purchases immediately, or there is a system discrepancy in tracking inventory assets.

Key Operational Alert: There is a **major disconnect between your ground-level transaction data and**

your financial statements. The sales from invoices are tiny fractions of the booked revenue. As your virtual CFO, I urge you to investigate this immediately. It could be due to: 1) Revenue recognition from large contracts booked upfront, 2) Sales data not being fully integrated into your accounting software, or 3) Other operational income being classified as Sales. Understanding this is critical for accurate profit analysis and GST compliance.

10. 90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement a strict 7-day payment follow-up system for all invoices. Negotiate 45-day payment terms with top 3 suppliers. Review and reduce discretionary expenses by 15%.	Improve cash balance by ₹5 lakh and reduce average debtor days from 45 to 30.	Immediate liquidity for operations, reduced reliance on expensive short-term credit, and a stronger financial buffer.
31-60	Profit	Analyse product/service-wise profitability. Increase prices by 5-7% for low-margin, high-volume items. Launch a cost-control dashboard for team leads.	Increase net profit margin by 3 percentage points. Identify and cut at least two unprofitable service lines.	Sustainable profitability, better resource allocation, and a clear understanding of what truly drives your bottom line.
61-90	Growth	Use improved cash and profits to fund a targeted marketing campaign for the most profitable segment. Finalise a quarterly financial forecast for the next FY.	Acquire 10 new high-value clients from the target segment. Create a 12-month rolling cash flow projection.	Smart, funded growth with predictable cash flow. Moves the business from reactive to proactive financial management.